#4 · 5.4% of marks

Ind AS 101 — First-time Adoption

Default = **full retrospective** application. Then **mandatory exceptions** (must) and **optional exemptions** (may) carve it down.

1 The dates — draw this first

Term	Example: first Ind AS FS for FY 2025-26
Date of transition = start of earliest comparative period	**1 April 2024** — opening Ind AS balance sheet prepared here
Comparative period	FY 2024-25 — restated under Ind AS
First Ind AS reporting period / reporting date	FY 2025-26 / **31 March 2026**
Ind AS versions used	Those ***effective at 31 March 2026***, applied to all periods 7 - 8

→ First Ind AS FS = first FS with an ***explicit and unreserved statement of compliance*** with Ind AS 3

2 Opening Ind AS balance sheet 10 - 11

- ***Recognise*** all assets / liabilities Ind AS requires
- ***Derecognise*** items Ind AS doesn't permit
- ***Reclassify*** items (e.g., redeemable pref. shares → liability)
- ***Measure*** per Ind AS

All adjustments → ***retained earnings*** (or another equity category) ***at the date of transition*** — not P&L of any period.

Previous-GAAP ***proposed dividend*** liability → reversed (not a liability under Ind AS 10).

3 Mandatory exceptions — NO choice App B

Area	Rule
Estimates	Consistent with previous-GAAP estimates (after policy alignment) ***unless*** evidence of error — ***no hindsight***
Derecognition of fin. assets / liabilities	***Prospective*** from transition date (may apply earlier if info was obtained then)
Hedge accounting	Only hedges that qualify under Ind AS 109 at transition date
NCI	Certain Ind AS 110 requirements (TCI to NCI, ownership changes) prospective
Classification & measurement of fin. assets	Assess on ***facts at transition date***
Impairment (ECL)	Reasonable info without undue cost; compare with initial credit risk where practicable
Embedded derivatives	Assess on later of first-party date and date reassessment required
Government loans at below-market rate	Use ***previous-GAAP carrying amount*** at transition (prospective Ind AS 109 / 20)

MOST TESTED

④ Optional exemptions — MAY use App C · D

Exemption	What it allows
Business combinations C	Don't restate past BCs. If you restate one, **restate all later** ones. Goodwill carried forward; test for impairment at transition
Deemed cost — PPE, intangibles, investment property	**FV** at transition, or previous-GAAP **revaluation**; or **previous-GAAP carrying value for ALL** PPE (+ decommissioning adjustments) D7AA (Indian)
Investments in subs / JVs / associates (SFS)	Cost per Ind AS 27, or deemed cost = **FV** or **previous-GAAP carrying amount** D15
Cumulative translation differences	Reset to **zero** at transition D13
Long-term foreign-currency monetary items	**Continue** previous-GAAP policy (AS 11 para 46A — capitalise / amortise FX) for items recognised before start of first Ind AS period D13AA (Indian)
Compound instruments	No split if liability component no longer outstanding at transition D18
Designation of financial instruments	FVOCI equity election / FVTPL designation based on facts at transition
Share-based payments	Need not apply Ind AS 102 to equity-settled awards **vested** before transition
Leases	Ind AS 116 transition simplifications at transition date
Decommissioning in PPE	Simplified measurement at transition
Borrowing costs	Previous-GAAP capitalised amounts may be retained

⚠ TRAP

Exception vs exemption: **exceptions** (App B) are **compulsory** — no hindsight on estimates, prospective derecognition. **Exemptions** (App C / D) are **elective**, item by item (some all-or-nothing, e.g., D7AA "all PPE").

Exception = Compulsory. Exemption = Elective.

5 Reconciliations to disclose 23 – 33

- → **Equity**: previous GAAP → Ind AS at **(a) transition date** and **(b) end of latest previous-GAAP period**
- → **Total comprehensive income** for the latest previous-GAAP period (start from previous-GAAP profit)
- → Material adjustments to **cash flow statement** explained
- → **Errors** under previous GAAP shown **separately** from policy changes 26
- → Impairment losses recognised / reversed at transition (Ind AS 36 disclosures)
- → Use of **FV as deemed cost** → aggregate FV and adjustment to carrying amounts, per line item 30
- → **Interim** reports within first Ind AS year → same reconciliations 32

6 Indian roadmap points

- → Companies (Ind AS) Rules, 2015 — mandatory by phases (listed / net-worth thresholds); **holding, subsidiary, JV, associate** of a covered company also apply
- → **Voluntary** adoption allowed; once on Ind AS, **cannot revert** to AS
- → NBFCs, banks, insurers — separate RBI / IRDAI roadmaps

7 Cross-links

- → **Ind AS 8** doesn't apply to policy changes on first-time adoption
- → **Ind AS 1 · 40A** — third balance sheet: the transition-date BS is presented
- → **Ind AS 12** — DT on all transition adjustments; most go to retained earnings
- → **Ind AS 103 App C / 110** — consolidation of subs already acquired: carrying amounts per exemption

8 AAA bridge

Area	Requirement
SA 510	Opening balances — first-time adoption adjustments are part of opening equity
SA 710	Comparatives restated under Ind AS — corresponding figures
SA 540	FV used as deemed cost; ECL at transition
SA 706	EOM may draw attention to transition note

> ✍ **Write in exam**
> "As per para 14 of Ind AS 101, an entity's estimates in accordance with Ind AS at the date of transition shall be consistent with estimates made for the same date under previous GAAP (after adjustments to reflect any difference in accounting policies), unless there is objective evidence that those estimates were in error."